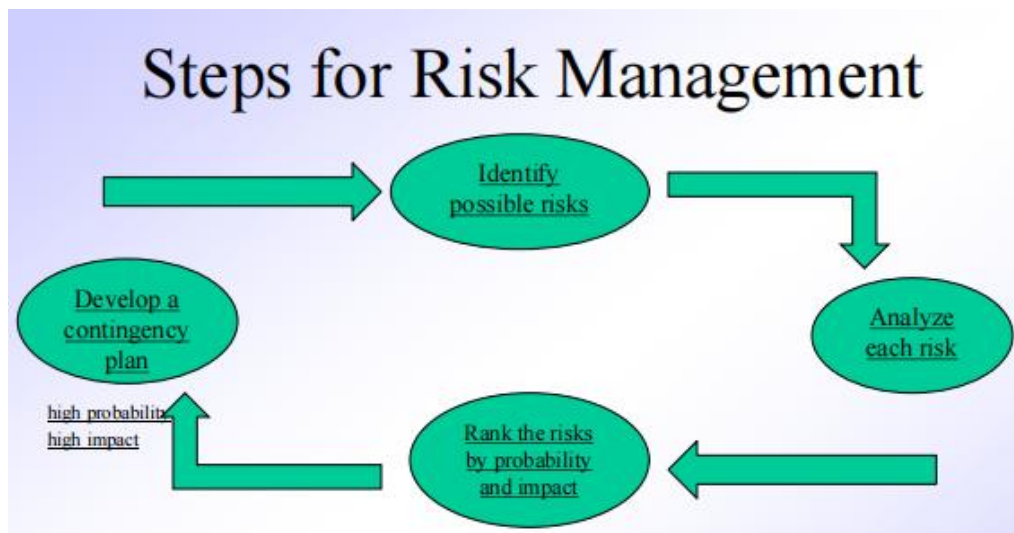


Risk Management

Risk management is the process of identifying, assessing, and prioritizing risks to minimize the potential negative impacts on a project. It involves creating strategies to either avoid, mitigate, or transfer risks and continuously monitoring them throughout the project life-cycle. The goal is to prepare for uncertainties, manage them proactively, and ensure the project stays on track to meet its objectives.



Risk Categorization

1. Project risks:

They threaten the project plan. If they become real, it is likely that the project schedule will slip and that costs will increase.

Ex:- Requirements are not fixed.

2. Technical risks:

They threaten the quality and timeliness of the software to be produced. If they become real, implementation may become difficult or impossible.

Ex:-Technology will not meet the expectation.

3. Business risks:

They threaten the viability of the software to be built.

Ex:- Delivery Deadline will not meet.

- a) Market risk
- b) Strategic risk
- c) Sales risk
- d) Budget risk

RMMM

- An effective strategy for dealing with risk must consider three issues

- Risk mitigation
- Risk monitoring
- Risk management

a) **Risk mitigation:** Risk mitigation refers to the actions taken to reduce the probability or impact of a risk to an acceptable level. It is about preparing for risks in advance so that, if they occur, their effect on the project will be minimal.

b) **Risk Monitoring:** Risk monitoring is the process of tracking the identified risks and their potential impacts during the course of the project. It involves continuously

reviewing the status of each risk to determine if its likelihood or impact has increased or decreased.

c) **Risk Management:** Risk management is the overall approach to dealing with risks, including how to handle them if they materialize. It involves making decisions on the actions to take for mitigating risks, responding when risks occur, and adjusting the project plan if needed.

1. Design a risk table for the scenario where **a key team member leaves the project in the middle of development**. Identify the risk category, probability of risk level, impact value, and provide proper justification for RMMM.

Risk Description	Risk Category	Probability of Risk Level	Impact Value	RMMM
A key team member leaves the project during development	Project Risk	40-60%	High	1. Mitigation: Cross-train other team members on the tasks of the key individual, so their responsibilities can be easily handed off. Provide a knowledge transfer plan. 2. Monitoring: Track the performance and availability of key team members regularly. Keep an eye on morale and workload distribution. 3. Management: Have a contingency plan for temporary replacements or support, such as a backup resource pool, to fill in for critical roles if needed.

2. Design a risk table for the case where market trends shift during development, potentially making the product less relevant when completed. Identify the risk category, probability of risk level, impact value, and provide proper justification for RMMM.

3. Design a risk table for the case where the system may experience performance issues under heavy user load. Identify the risk category, probability of risk level, impact value, and provide proper justification for RMMM.

4. Design a risk table for the scenario where stakeholders reduce the project budget, potentially affecting the scope and quality of the project. Identify the risk category, probability of risk level, impact value, and provide proper justification for RMMM.